

Testahil — Savola Group Company (Tadawul: 2050)

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

What this workbook is. A transparent companion to the Savola Group valuation study. Every blue cell is an input; every black cell is a formula; green cells link across sheets.

IT IS FORMULA-DRIVEN. Every figure that can be derived arithmetically from a driver is a live formula, so you can change a blue cell on Assumptions and watch the model reprice: the cost of capital is built from the risk-free rate net of the sovereign spread, beta and the premium rather than pasted; the discount factors compound; and the segment build, income statement, balance sheet, cash flow, ratios and all four lenses chain off the same cells.

THIS IS THE SECOND EDITION (19-Aug-2026). It restrikes the 18-Aug first edition after a four-critique external audit: the settled 18-Aug close (25.40) replaces an intraday print; the cash-flow waterfall now charges the FULL lease additions; the terminal return on capital is COMPUTED from the model's own year five rather than input; the risk-free rate is the published SAR sovereign curve; the capital-structure weights use the 30-Jun-2026 reviewed balance sheet; the Tiryaki receivable moved from working capital to the bridge; the per-share divisor is the Q2-2026 ex-treasury count; the relative lens is trailing-on-trailing with Al Othaim n/m; and the bridge holds its three anchor-dated legs outside the roll.

THREE THINGS ARE PASTED VALUES, and it is worth knowing exactly which. First, audited and disclosed history — the primary record, not a calculation: the FY2023-FY2025 statements, the FY2025 category volumes, revenues and gross profits, and the H1-2026 actuals. Second, nothing else of the build: the forecast itself is LIVE — category volumes compound off growth drivers, revenue is volume x revenue per tonne, gross profit is volume x gross profit per tonne, Panda revenue is stores x sales per store. Where a margin IS an input it is said plainly: Herfy and Al Kabeer disclose only revenue and margin, so their margins are inputs at the finest disclosed level (flagged); Panda's margin is the identity of its two inputs; Food Processing — 47% of FY2026E EBITDA — is fully unit-built and its margins are outputs. Third, whole-model engine outputs, where each figure is a complete re-run of the entire valuation and so cannot be a single formula: the Monte Carlo price map, the sensitivity grids, the DCF scenario bear/bull

bounds, Framing B, the judgement variants, and the CDS-basis fair value. Changing a driver reprices the model but does NOT redraw those engine outputs.

How revenue is built. Not as one growth rate. Edible oil, sugar and pasta are volume x price: thousand tonnes compound on their own growth paths (anchored on the disclosed H1-2026 actuals: oil +16.1%, sugar +7.2%, pasta +3.1% as the company states it) and carry their own revenue-per-tonne paths. Nuts & spices carries a revenue path with the July-2026 Mehbaj acquisition folded in small (SR 11.4mn consideration per the Q2-2026 interims, note 19). Panda is stores x sales-per-store: the store path follows the company's own 20-plus-per-year guidance (the +8/yr run-rate alternative is priced as a variant), and sales density carries the measured H1-2026 decline — published as a range, −7.1% to −6.0%, because the June-2025 store count is not disclosed — fading in Framing A and persisting in Framing B. Herfy and Al Kabeer are revenue glides anchored on H1-2026 actuals.

How cost is built. Each category carries its own gross profit per tonne — anchored on the H1-2026 actuals, with the second half held BELOW the first on the company's own replacement-cost warning and the July-2026 vegetable-oil price rise — and its own operating-cost ratio measured from FY2025. Segment EBITDA and the group margin are OUTPUTS computed on the Segments sheet.

Leases are debt, and charged in full. The lease liability is deducted in the bridge and carries its measured 5.86% effective rate inside the cost of capital; the cash-flow waterfall charges the FULL lease additions — right-of-use depreciation (renewals) PLUS the lease-book growth the store programme creates. Leases fund assets, so lease-funded growth is reinvestment like owned capex; the first edition charged renewals only, and correcting that is this edition's largest single change (−2.3 on the DCF lens).

The contested judgement — Panda's expansion. The model is computed BOTH WAYS and never averaged: Framing A lets sales density stabilise as the store-refresh programme and e-commerce mature; Framing B holds the measured H1-2026 density erosion forever. Both fair values sit side by side on the Fundamental Valuation sheet, in the study's summary table, and in an expert's range.

Discount convention, stated. The five explicit years are discounted at the explicit-window cost of capital at full-year END-of-period factors; the terminal value, dated at the end of year five, is

discounted at the year-five factor and uses terminal weights re-based toward equity. The bridge's Dec-2025-dated legs are rolled to the 18-Aug-2026 anchor at the cost of equity, net of the SAR 1.70 dividend whose ex-date (07-May-2026) falls inside that window; the three anchor-dated legs (Kinan capitalized on H1-2026 earnings, Herfy's NCI at its 18-Aug price, the Jul-2026 Mehbaj consideration) sit OUTSIDE the roll at their own dates.

Sourcing note, up front. FY2023, FY2024 and FY2025 come from the company's own audited consolidated financial statements read from savola.com/investors; Q1-2026 AND Q2-2026 from the reviewed interim statements (the Q2 interims carry the Mehbaj consideration, the 30-Jun balance sheet and the ex-treasury share divisor used here); the H1-2026 actuals from the company's own earnings release and investor presentation (06-Aug-2026). Every input is listed with source and date in the companion bibliography.

Currency. SAR million unless stated. Spot SAR 25.40 (settled 18-Aug-2026 close). Sheets: READ FIRST · Summary · Fundamental Valuation · Assumptions · SOTP Bridge · Segments · Relative & Normalized · DCF · Income Statement · Balance Sheet · Cash Flow · Summary Financials · Monte Carlo · Sensitivity · Per-Share & Ratios · Peer & Sector.

Summary — valuation at a glance

All values link live to their source sheets

Lens	Bear	Base	Bull	Weight	Contribution	vs spot
Discounted cash flow (Framing A)	10.75	24.99	32.59	45.0%	11.25	(1.6%)
Relative multiples	24.69	28.22	31.75	25.0%	7.06	11.1%
Normalised earnings power	30.73	35.12	39.51	15.0%	5.27	38.3%
Book value and sustainable return	21.78	24.49	27.20	15.0%	3.67	(3.6%)
Weighted central	18.89	27.24	32.61	100.0%		7.3%
Span across lenses (min/max — NOT weighted)	10.75		39.51			
Contested judgement, other way — Framing B (−6% then −3% forever)		19.63				(22.7%)
Terminal value share of DCF enterprise value		79.3%				
Expert panel median		21.96				(13.6%)
Market price (settled 18-Aug-2026 close)		25.40				

Key figure	Value
Shares issued (mn)	300
Market capitalisation (SAR mn)	7,620
FY2025 revenue (SAR mn, audited)	26,081
FY2025 operating EBITDA (SAR mn)	2,351
FY2026E revenue (SAR mn)	27,060
FY2026E EPS (SAR)	2.46
Cost of capital — explicit window	7.82%
Cost of capital — terminal	8.42%
Terminal growth	2.5%
Terminal return on capital (computed year-5; 10.5% variant published)	10.07%
Net debt, 30-Jun-2026 (company definition, SAR mn)	851
Weighted central — first edition, 18-Aug-2026 (superseded by this edition)	28.02

Fundamental valuation — four lenses, the contested judgement, the panel

Lens / step	Basis	SAR per share
Discounted cash flow (Framing A)	five-year FCFF (f	24.99
bear	Framing B densit	10.75
bull	oil GP/t +25 · su	32.59
Relative multiples	trailing peer-mix	28.22
Normalised earnings power	mid-cycle margin	35.12
Book value and sustainable return	justified P/B on	24.49
Weighted central		27.24

THE CONTESTED JUDGEMENT — PANDA'S EXPANSION, BOTH WAYS

Framing A: density stabilises as CXR and e-commerce mature	24.99
Framing B: the density erosion never fades — −6% in FY2026E, then −3% every year fi	19.63
The judgement is worth (Framing A less Framing B, per share)	5.36
CDS-basis fair value (same model, CDS sovereign basis, Jan-2026 vintage flagged; engi	23.27

JUDGEMENT VARIANTS — every lever value published (engine re-runs)

Store path at the H1-2026 run-rate (+8/yr instead of guidance; lease growth scaled to the 0.4x cadence)	19.53
Density opening at −7.1% (the June-2025 = 213 assumption end of the range)	24.34
Density opening at −6.0% (the interpolated end; the base input)	25.01
Terminal return held at 10.5% (the retired first-edition input, as a variant)	25.49

EXPERT PANEL

Expert	Method	Base (SAR/shar	Low	High
Expert 1	segment sum-of-t	37.44	31.18	43.71
Expert 2	two-stage dividen	18.52	16.68	21.49
Expert 3	residual income /	21.96	20.88	24.15
Panel median		21.96		

The risk-free rate, priced both ways

The base is the PUBLISHED SAR sovereign curve: FTSE SAGBI 7-10y yield 5.52% (31-Jul-2026 factsheet; iBoxx SAR sukuk 5.44% at 6.07y corroborates). Discounting at -50bp / $+50\text{bp}$ instead is an

27.70

22.55

Assumptions — every input in the model

Blue cells are inputs. Change one and the model reprices: everything downstream is a formula.

Input	2026E	2027E	2028E	2029E	2030E
Inputs					
Inputs					
Spot price (SAR, SETTLED 18-Aug-2026 close)		25.40			
Shares issued (mn)		300			
Shares outstanding ex-treasury (mn; Q2-2026 interims EPS-note divisor)		296.7			
Combined zakat + income tax rate on core profit		19.5%			
Dividend payout (stated policy 50-60% of net profit; midpoint)		55.0%			
Days from the 31-Dec-2025 valuation date to the 18-Aug-2026 anchor		230			
Dividend gone ex between valuation date and anchor (SAR/share)		1.70			
FY2025 disclosed bases (audited statements + company presentations)					
Group revenue FY2025		26,081			
Group gross profit FY2025		5,089			
Oil volume FY2025 (k MT)		1,322			
Oil revenue FY2025		7,098			
Sugar volume FY2025 (k MT)		2,162			
Sugar revenue FY2025		4,868			
Pasta volume FY2025 (k MT, DISCLOSED — FY2025 presentation p17)		263			
Pasta revenue FY2025		545			
Nuts & spices revenue FY2025 (residual to the audited segment)		769			
Panda (Retail) segment revenue FY2025		11,328			
Food Services (Herfy) segment revenue FY2025		1,083			
Frozen Food (Al Kabbeer) segment revenue FY2025		805			
Investments segment revenue (held flat)		29.0			
Panda stores at Dec-2024		209			
Panda stores at Dec-2025		227			
Unit build — Food Processing (volume x price x GP/tonne; margins are outputs)					
Oil volume growth	12.5%	4.0%	3.0%	2.5%	2.0%
Oil revenue-per-tonne growth	0.5%	1.5%	1.5%	1.0%	1.0%
Oil gross profit per tonne (SAR/t)	740	745	745	745	745
Sugar volume growth	5.5%	2.5%	2.0%	2.0%	1.5%
Sugar revenue-per-tonne growth	(7.5%)	0.5%	0.5%	0.5%	0.5%
Sugar gross profit per tonne (SAR/t)	215	212	212	212	212
Pasta volume growth	3.0%	3.0%	2.5%	2.0%	2.0%
Pasta revenue-per-tonne growth	2.0%	1.0%	1.0%	1.0%	1.0%
Pasta gross profit per tonne (SAR/t)	520	520	520	520	520
Nuts & spices revenue path (Mehbaj folded in, flagged)	730	800	848	890	926
Nuts & spices gross margin path	26.5%	27.0%	27.0%	27.0%	27.0%
Oil operating cost / revenue (measured FY2025)		5.56%			
Sugar operating cost / revenue (measured FY2025)		1.60%			
Pasta operating cost / revenue (measured FY2025)		7.90%			
Nuts operating cost / revenue (measured FY2025)		23.50%			

Panda (Retail) build — stores x sales per store; margin is an output					
Store count, end of year (company guidance 20+/yr; +8/yr run-rate vs 2020)	247	267	285	300	312
Sales-per-average-store growth (Framing A; opening measured as a ratio)	(6.0%)	(3.0%)	(1.0%)	-	-
Panda gross margin (H1-2026 actual, held)		23.2%			
Panda store-opex / revenue (measured H1-2026)		14.3%			
Framing A scale gain on the opex ratio from FY2028 (per year)		0.10%			
Food Services and Frozen Food					
Herfy revenue growth	(4.5%)	-	2.0%	2.0%	2.0%
Herfy EBITDA margin (H1-2026 actual 18.7%, held FLAT — a margin INPUT at the firm)		18.7%			
Al Kabeer revenue growth	1.0%	3.5%	3.5%	3.0%	3.0%
Al Kabeer EBITDA margin (H1-2026 actual, held)		13.7%			
Group items					
Eliminations / Food-Processing segment revenue (measured FY2025)		-3.34%			
Unallocated corporate costs (SAR mn)	130	133	136	139	142
Capital intensity, D&A and leases					
Capital expenditure (SAR mn, incl. intangibles)	810	900	880	860	850
Owned-PP&E depreciation rate on opening balance (measured FY2025)		11.20%			
Intangibles amortisation = intangible capex (book held flat)		50			
Right-of-use depreciation FY2025 (audited components)		532.2			
Right-of-use / lease growth (store-driven)	5.0%	4.5%	4.0%	3.5%	3.0%
Lease effective interest rate (measured FY2025)		5.86%			
Working capital — component days measured FY2025					
Days inventory outstanding		81.4			
Days sales outstanding		26.0			
Days payable outstanding		68.1			
Prepayments & other receivables / revenue (EX the Tiryaki receivable)		4.11%			
Accrued & other liabilities / revenue		10.85%			
Contract liabilities / revenue		0.58%			
Profit walk					
Non-controlling interests' share of core profit (measured FY2025)		7.0%			
Kinan share of results, H1-2026 actual (SAR mn)		34.0			
Kinan contribution growth		3.0%			
Kinan cash dividend received FY2025 (grows with Kinan)		25.1			
Yield on surplus cash (observed 1Y SAR sovereign)		4.70%			
Cost of capital — v2 method, rating basis primary					
Risk-free rate: PUBLISHED SAR sovereign curve, FTSE SAGBI 7-10y YTM (31-Jul-20)		5.52%			
Saudi sovereign default spread (rating basis, July-2026 Damodaran, netted out of rf)		0.48%			
Equity risk premium (Saudi total, rating basis, July-2026 Damodaran)		4.94%			

Saudi sovereign CDS spread (CDS basis — JANUARY-2026 vintage, flagged)	0.98%
Equity risk premium (CDS basis — January-2026 vintage, flagged)	5.72%
Beta (SAVOLA weekly vs TASI, 5y, Dimson)	1.087
Marginal SAR cost of debt (SAIBOR + murabaha spread)	5.74%
EGP tranche cost, SAR-equivalent (parity construction)	6.50%
Other tranches (AED/DZD) cost	5.50%
Loans — Saudi Riyal tranche (constructed from the audited currency note; the note c	1,256
Loans — Egyptian Pound tranche (constructed)	417
Loans — other currencies, AED/DZD/USD (constructed)	220
Loans and borrowings at 30-Jun-2026 (WACC weight leg, reviewed interims)	2,665
Lease liabilities at 30-Jun-2026 (WACC weight leg, reviewed interims)	3,717
Terminal equity weight	65.0%
Terminal loans weight	8.0%
Terminal growth	2.5%
Terminal return on capital — 10.5% UPSIDE VARIANT (the base is COMPUTED as y	10.5%

Bridge anchors (audited 31-Dec-2025)

Cash and cash equivalents	904
Loans and borrowings (all current)	1,894
Lease liabilities	3,952
Employee benefits liabilities	748
Provision against asset restoration	165
Other net liabilities (tax/zakat accruals + DTL – DTA – other assets)	332.7
Non-current investments (MOF sukuk + Almarai FVOCI)	676.4
Current investments (T-bills, FVTPL)	85.8
Investment property	158.2
Herfy share price (its own Tadawul listing, 18-Aug-2026)	15.50
Herfy shares outstanding (mn)	64.68
Non-controlling interests, book (audited)	950.0
of which the 51% Herfy NCI at book	434.6
Property, plant and equipment (owned)	5,486
Right-of-use assets	3,417
Intangible assets and goodwill	1,409
Kinan carrying value (equity method)	435.5
Equity attributable to owners	5,516
Equity attributable to owners, 30-Jun-2026 (reviewed; book-lens base)	5,361
Tiryaki sale-proceeds receivable (on the 31-Dec-2025 balance sheet; settled in Tirya	274.6
Al Mehbaj consideration (Q2-2026 interims note 19: 5.4 paid + 6.0 deferred)	11.4
Herfy non-current liabilities (note 20; Expert-1 carve-out)	462.0
Herfy current lease portion, CONSTRUCTED estimate (flagged)	80.0
Herfy cash, CONSTRUCTED estimate (flagged)	45.0

Lens inputs

Peer P/E — Almarai (settled 18-Aug close)	19.77x
Peer P/E — BinDawood (settled 18-Aug close)	20.20x

Peer P/E — NADEC (18-Aug)	13.00x
Peer P/E — Wilmar, international analogue (18-Aug)	12.54x
Conglomerate / EM-mix discount on the peer-mix multiple	20.0%
Normalised mid-cycle operating EBITDA margin	9.20%
Recurring net profit FY2025 (company bridge)	539.1
Recurring net income H1-2026 (company net-income analysis)	372.0
Recurring net income H1-2025 (same table, comparative column)	266.0
Weight — discounted cash flow	45.0%
Weight — relative	25.0%
Weight — normalised	15.0%
Weight — book	15.0%

Enterprise value to equity – the bridge

Dec-2025 legs roll to the anchor at the cost of equity; the three anchor-dated legs (Kinan capitalized, Herfy NCI at market, Mehbaj) sit OUTSIDE the roll

Step	SAR mn	Per share (SAR)
Present value of the five forecast years		2,660
Present value of the terminal value		10,165
Enterprise value (operating)		12,825
Government sukuk and other non-current investments		676
Current investments (T-bills, Almarai FVTPL)		86
Tiryaki sale-proceeds receivable (on the audited 31-Dec-2025 balance sheet; carved out		275
Investment property (its inter-segment rent is OUTSIDE group EBITDA, so the asset bel		158
Cash and cash equivalents		904
Less loans and borrowings		(1,894)
Less lease liabilities		(3,952)
Less employee benefits liabilities		(748)
Less asset-restoration provision		(165)
Less other net liabilities (tax/zakat accruals, deferred tax, net)		(333)
Less other non-controlling interests at book		(515)
Dec-2025-dated legs, subtotal	7,317	
x accretion to 18-Aug-2026 at the cost of equity (Dec legs only)	1,0644	
Dec legs rolled to the anchor	7,788	
ANCHOR-DATED LEGS (held outside the roll)		
Kinan at capitalized earnings (annualized H1-2026 share / cost of equity — an H1-2026 r	653	
Less Herfy's 51% NCI at Herfy's own settled 18-Aug-2026 price	(511)	
Less Al Mehbaj consideration (Jul-2026 acquisition whose revenue the forecast carries)	(11.4)	
Equity value attributable to owners AT THE ANCHOR	7,918	24.99
31-Dec-2025-basis view (Dec legs unrolled; anchor legs at their own dates)	7,447	25.10

Terminal value as a share of enterprise value 79.3%

Kinan alternatives: carrying value 435.5 (floor) · share of net assets 600.9 (disclosed) · capitalized earnings (used). First edition note superseded: the Tiryaki receivable IS on the 31-Dec-2025 balance sheet (notes 14/22) and now sits in the bridge; only its share settlement happened in H1-2026.

Segments — the unit build; every margin is an output

Volumes compound on their drivers; revenue = volume x price; gross profit = volume x GP/tonne; Panda = stores x sales per store

Food Processing unit build	2026E	2027E	2028E	2029E	2030E
Oil volume (k MT)	1,487	1,547	1,593	1,633	1,666
Oil revenue per tonne (SAR/t)	5,396	5,477	5,559	5,615	5,671
Oil revenue	8,025	8,471	8,856	9,169	9,445
Oil gross profit (= volume x GP/tonne)	1,101	1,152	1,187	1,217	1,241
Oil EBITDA (= GP – measured opex ratio x revenue)	654	681	694	707	716
Sugar volume (k MT)	2,281	2,338	2,385	2,432	2,469
Sugar revenue per tonne (SAR/t)	2,083	2,093	2,104	2,114	2,125
Sugar revenue	4,751	4,894	5,017	5,142	5,246
Sugar gross profit	490	496	506	516	523
Sugar EBITDA	414	417	425	433	439
Pasta volume (k MT)	271	279	286	292	298
Pasta revenue per tonne (SAR/t)	2,114	2,135	2,156	2,178	2,200
Pasta revenue	573	596	617	635	654
Pasta gross profit	141	145	149	152	155
Pasta EBITDA	96	98	100	102	103
Nuts & spices revenue (driver path)	730	800	848	890	926
Nuts & spices gross profit	193	216	229	240	250
Nuts & spices EBITDA	22	28	30	31	32
Food Processing revenue	14,078	14,761	15,338	15,836	16,272
Food Processing gross profit	1,925	2,009	2,070	2,124	2,169
Food Processing EBITDA	1,186	1,225	1,249	1,273	1,291

Panda (Retail) build	2026E	2027E	2028E	2029E	2030E
Average stores in year	237.0	257.0	276.0	292.5	306.0
Sales per average store (SAR mn)	48.85	47.38	46.91	46.91	46.91
Panda revenue (= stores x sales/store)	11,576	12,177	12,946	13,720	14,353
Panda gross profit (margin held at the H1-2026 actual)	2,686	2,825	3,003	3,183	3,330
Panda store-opex ratio (Framing A scale gains from FY2028)	14.30%	14.30%	14.20%	14.10%	14.00%
Panda EBITDA (an output)	1,030	1,084	1,165	1,249	1,320

Food Services, Frozen Food, eliminations, group	2026E	2027E	2028E	2029E	2030E
Herfy revenue	1,034	1,034	1,055	1,076	1,097
Herfy EBITDA	193	193	197	201	205
Al Kabeer revenue	813	842	871	897	924
Al Kabeer EBITDA	111	115	119	123	127
Eliminations (proportional to Food Processing)	(470)	(493)	(512)	(529)	(543)
Group revenue	27,060	28,349	29,726	31,029	32,131
Unallocated corporate costs	(130)	(133)	(136)	(139)	(142)
Group operating EBITDA (output)	2,391	2,484	2,595	2,706	2,801
Group EBITDA margin (output, never an input)	8.8%	8.8%	8.7%	8.7%	8.7%

FY2025 gross-profit footing (audited)	SAR mn
Oil gross profit FY2025 (disclosed)	958.0
Sugar gross profit FY2025 (disclosed)	413.0
Pasta gross profit FY2025 = disclosed revenue x disclosed n	117.2
Nuts & spices gross profit FY2025 (residual)	201.1
Sum of the four categories	1,689.2
Audited Food-Processing segment gross profit (revenue less	1,689.2

The pasta line ties to the deck's own per-tonne label: 117.2mn / 263k tonnes = SAR 445/tonne (FY2024: 102 / 232 = 440).

MARGIN STATUS BY SEGMENT — stated plainly: Food Processing (47% of FY2026 EBITDA) is unit-built and its margins are OUTPUTS;

Herfy and Al Kabeer margins are INPUTS at the finest level their disclosures allow (flagged above). Panda's margin is the identity of its

FY2025 bases shown on Assumptions; H1-2026 actuals in the study text. The four category revenues foot to the audited Food-Processing segment revenue (13,279.9) and the four gross profits to the audited segment gross profit (1,689.2), as shown in the footing block above.

Relative, normalised and book lenses

The peer-mix multiple is computed from quoted peers, discounted for the conglomerate/Egypt mix, and applied to model earnings

PEER-MIX MULTIPLE

Processing-leg P/E = median (NADEC, Wilmar)	12.77x
Retail-leg P/E = BinDawood (Al Othaim n/m after its 11-Aug-2026 H1 loss)	20.20x
Processing-leg weight = $\text{FP EBITDA} / (\text{FP} + \text{Panda EBITDA})$, FY2026E — COMPUT	53.52%
Mix-weighted peer P/E	16.22x
Applied multiple after the disclosed discount	12.98x

RELATIVE LENS — trailing multiple on TRAILING earnings

Trailing recurring net income to 30-Jun-2026 = FY2025 recurring — H1-2025 recu	645.1	
Trailing recurring EPS (on the ex-treasury divisor)	2.17	
Relative lens value = applied multiple x trailing recurring EPS (anchor-dat	28.22	
bear (30% discount) / bull (10% discount)	24.69	31.75
forward variant (the first edition's construction: applied multiple x FY2026E EPS	31.90	

NORMALISED EARNINGS POWER

FY2026E revenue (the trailing-multiple year; FY2027E under a trailing multiple w	27,060		
Normalised EBITDA at the mid-cycle margin	2,490		
Normalised net profit (same D&A, finance, tax and minority frame)	803		
Normalised EPS	2.71		
Normalised lens value = applied multiple x normalised EPS	35.12	30.73	39.51

BOOK VALUE AND SUSTAINABLE RETURN

Book value per share (30-Jun-2026 reviewed equity, ex the 1.70 dividend paid)	18.07		
Sustainable return on equity = the model's OWN FY2026E attributable profit (rec	13.22%		
Justified price-to-book = $(\text{ROE} - g) / (\text{Ke} - g)$	1.36		
Book lens value = justified P/B x book value per share	24.49	21.78	27.20

DIVIDEND-DISCOUNT CROSSWALK — the multiple our own cost of equity supports, computed three ways (none is typed; the study quotes the range)

Two-stage (model earnings growth 5.8% for five years, then terminal growth)	8.18x
Gordon forward form = $\text{payout} / (\text{Ke} - g)$	6.95x
Implied by Expert 2's dividend model (its value / FY2026E EPS)	7.73x

The market pays the peer set 16.2x against the 7.0x-8.2x this study's cost of equity supports. That gap (the price of capital) is why the DCF sits below the peer-anchored lenses; it is examined in the study rather than averaged away.

DCF — the waterfall, the cost of capital built in-sheet, and the terminal

NOPAT = EBIT x (1 – combined zakat/tax); lease replacement equals right-of-use depreciation; leases carry a debt weight

SAR mn	2026E	2027E	2028E	2029E	2030E
Revenue	27,060	28,349	29,726	31,029	32,131
EBITDA	2,391	2,484	2,595	2,706	2,801
EBITDA margin	8.8%	8.8%	8.7%	8.7%	8.7%
Less depreciation and amortisation	(1,223)	(1,265)	(1,313)	(1,353)	(1,387)
EBIT	1,168	1,219	1,283	1,353	1,414
NOPAT = EBIT x (1 – combined zakat/tax rate)	940	982	1,032	1,089	1,138
Add back depreciation and amortisation	1,223	1,265	1,313	1,353	1,387
Less capital expenditure	(810)	(900)	(880)	(860)	(850)
Less lease renewals (= right-of-use depreciation)	(559)	(584)	(607)	(629)	(647)
Less lease-book growth (new-store leases; full additions charged)	(198)	(187)	(173)	(158)	(140)
Less increase in net working capital	(28)	(35)	(38)	(36)	(30)
Free cash flow to the firm	569	540	647	761	858
Discount factor (compounding at the explicit cost of capital)	0.9275	0.8602	0.7979	0.7400	0.6863
Present value of free cash flow	527	465	516	563	589

TERMINAL BLOCK

Terminal growth	2.5%
Terminal return on capital — COMPUTED (year-5 NOPAT / opening capital)	10.1%
Terminal reinvestment = g / return on capital	24.8%
Terminal NOPAT (year five grown one year)	1,166
Terminal free cash flow = NOPAT x (1 – reinvestment)	877
Terminal value at end of year five	14,811
Present value of the terminal value	10,165
Present value of the five explicit years	2,660
Terminal value share of enterprise value	79.3%
Enterprise value (operating)	12,825

Upside variant — terminal return held at 10.5% (engine re-run, published beside [25.49](#))

COST OF CAPITAL — BUILT, NOT PASTED (v2: rf net of the sovereign spread; both ERP bases shown)

Observed 10Y SAR sovereign yield (FTSE SAGBI 7-10y)	5.52%
Less sovereign default spread (rating basis)	-0.48%
Normalized risk-free rate rf*	5.04%
Beta (own stock vs TASI, five-year weekly)	1.087

Equity risk premium (rating basis)	4.94%
Cost of equity = $r_f^* + \beta \times \text{ERP}$	10.41%
Cost of loans (blend of SAR / EGP-parity / other tranches)	5.88%
Cost of leases (measured effective rate)	5.86%
Market capitalisation = settled spot x shares issued	7,620
Capital base = equity (anchor) + loans + leases (both at 30-Jun-2026)	14,001
Equity weight	54.42%
Loans weight	19.03%
Lease weight	26.55%
Cost of capital — explicit window	7.82%
Cost of equity, CDS basis = $(r_f - \text{CDS}) + \beta \times \text{ERP}(\text{CDS})$	10.76%
Cost of capital — explicit window, CDS basis	8.01%
Terminal weights: equity / loans / leases	65.0%
	8.0%
	27.0%
Cost of capital — terminal	8.42%

FROM ENTERPRISE VALUE TO THE ANCHOR

Equity value AT THE ANCHOR (from the bridge: Dec-2025 legs rolled at the cost	7,918
Fair value per share on the 31-Dec-2025 basis (anchor legs at their own dates)	25.1014025683
Anchor accretion factor on the Dec legs = $(1 + \text{cost of equity})^{(\text{days}/365)}$	1.0644
Fair value per share at the 18-Aug-2026 anchor (ex the 1.70 dividend)	24.99

CDS-basis fair value (engine re-run at the CDS-basis cost of capital; the CDS legs are the January-2026 vintage, flagged): SAR 23.27

Income statement – three audited years and the five-year forecast

FY2023 is the continuing basis of the FY2024 statements and still includes Türkiye (disposed 2025); FY2024-25 are the FY2025 audited basis (ex-Türkiye)

SAR mn	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Revenues	24,150	23,046	26,081		27,060	28,349	29,726	31,029
Cost of revenues (audited, forecast modelled at category)	(19,104)	(18,213)	(20,992)					
Gross profit (audited columns)	5,046	4,833	5,089					
Operating costs before D&A (selling, admin, net other; f	(3,809)	(3,871)	(3,928)	(24,669)	(25,865)	(27,131)	(28,323)	(29,331)
Operating EBITDA (before associates and impairme	2,302	2,062	2,351	2,391	2,484	2,595	2,706	2,801
Depreciation and amortisation	1,865	1,190	1,190	1,223	1,265	1,313	1,353	1,387
EBIT	1,237	962	1,161	1,168	1,219	1,283	1,353	1,414
Net finance cost (on prior-year net debt and lease book)			(276)	(285)	(288)	(295)	(298)	(295)
Core profit after zakat and tax (= (EBIT + net finance) x (1 – rate))			51.8	711	749	795	850	900
Share of results of Kinan (net of zakat and tax)				68.0	70.0	72.1	74.3	76.5
Profit attributable to non-controlling interests			(66.0)	49.8	52.5	55.6	59.5	63.0
Profit attributable to owners	899	9,974	874	729	767	811	864	914
Earnings per share (SAR)			2.93	2.46	2.59	2.73	2.91	3.08

FY2024 attributable profit includes the SAR 11,554.7mn Almarai distribution gain (audited FY2024 statements, segment note). FY2025 recurring net profit is 539.1 per the company's own bridge, whose items are a 300.0 zakat and other accrual reversal, a 32.3 Türkiye gain and a 40.2 put-option gain (the audited FS note 29 zakat credit is 217.4; the announcement quotes 247.3 gross of related expenses – three disclosed figures on three bases). The forecast is the recurring construction.

Balance sheet — audited FY2025 and the forecast roll-forward

The sheet FOOTS: the check row at the bottom is assets less liabilities less equity and evaluates to zero in every year

SAR mn	FY2025	2026E	2027E	2028E	2029E	2030E
Property, plant and equipment (opening + capex – depreciation)	5,486	5,632	5,851	6,026	6,161	6,271
Right-of-use assets (grow with the lease book)	3,417	3,614	3,801	3,975	4,133	4,273
Intangible assets and goodwill (held: capex = amortisation)	1,409	1,409	1,409	1,409	1,409	1,409
Investment property (held)	158	158	158	158	158	158
Kinan (equity method: + share of results – dividends)	436	478	523	568	615	663
Non-current investments (held)	676	676	676	676	676	676
Current investments (held)	86	86	86	86	86	86
Tiryaki stake (the 274.6 sale-proceeds receivable reclassified from working capital; set Cost of revenues ratio (measured FY2025, drives inventory and payables)	275	275	275	275	275	275
Inventories (days on cost of revenues)	4,681	4,857	5,089	5,336	5,570	5,768
Trade receivables (days on revenue)	1,857	1,928	2,019	2,117	2,210	2,289
Prepayments and other receivables, EX the Tiryaki receivable (audited 1,346.5 less 274)	1,072	1,112	1,165	1,222	1,275	1,321
Trade payables (days on cost of revenues)	(3,916)	(4,064)	(4,257)	(4,464)	(4,660)	(4,825)
Accrued and other liabilities (% of revenue)	(2,829)	(2,936)	(3,076)	(3,225)	(3,367)	(3,486)
Contract liabilities (% of revenue)	(152)	(157)	(164)	(172)	(180)	(186)
Net working capital	712	740	776	813	849	879
Cash and cash equivalents (from the cash-flow walk)	904	1,038	1,108	1,240	1,438	1,689
Total assets (condensed)		14,106	14,662	15,226	15,799	16,379
Loans and borrowings (held at the FY2025 level)	1,894	1,894	1,894	1,894	1,894	1,894
Lease liabilities (grow with the store network)	3,952	4,150	4,337	4,510	4,668	4,808
Employee benefits liabilities (held)	748	748	748	748	748	748
Asset-restoration provision (held)	165	165	165	165	165	165
Other net liabilities (tax/zakat accruals + DTL – DTA – other, held)	333	333	333	333	333	333
Equity attributable to owners (+ profit – dividends)	5,516	5,844	6,189	6,554	6,943	7,355
Non-controlling interests (+ NCI profit – NCI dividends)	950	972	996	1,021	1,048	1,076
FOOT CHECK: assets – liabilities – equity (must be zero)		0.00	0.00	(0.00)	(0.00)	(0.00)
Net debt (loans – cash – current investments; company definition)	904	770	700	568	370	119

Cash flow — the walk that closes the balance sheet

Lease principal equals right-of-use depreciation; new store leases are non-cash additions

SAR mn	2026E	2027E	2028E	2029E	2030E
Core profit after zakat and tax	711	749	795	850	900
Add back depreciation and amortisation	1,223	1,265	1,313	1,353	1,387
Working-capital investment (increase is an outflow)	(28)	(35)	(38)	(36)	(30)
Dividend received from Kinan	25.1	25.9	26.6	27.4	28.3
Net cash from operating activities	1,931	2,005	2,096	2,195	2,286
Capital expenditure (property, plant, equipment and intangibles)	(810)	(900)	(880)	(860)	(850)
Net cash used in investing activities	(810)	(900)	(880)	(860)	(850)
Payment of lease liabilities — principal (= right-of-use depreciati	(559)	(584)	(607)	(629)	(647)
Dividends paid to owners (policy payout on the current year's prc	(401)	(422)	(446)	(475)	(503)
Dividends paid to non-controlling interests	(27)	(29)	(31)	(33)	(35)
Net cash used in financing activities	(987)	(1,035)	(1,084)	(1,137)	(1,185)
Net change in cash	134	70	132	198	251
Cash and cash equivalents at year end	1,038	1,108	1,240	1,438	1,689
 Memo: right-of-use depreciation (grows with the store network)	 558.8	 583.9	 607.3	 628.5	 647.4

The dividend row applies the stated 50-60% policy (midpoint) to the current year's attributable profit; Savola's actual FY2025 dividend of SAR 510mn was paid during H1-2026.

Summary financials and returns

SAR mn	FY2025	2026E	2027E	2028E	2029E	2030E
Revenue	26,081	27,060	28,349	29,726	31,029	32,131
Operating EBITDA	2,351	2,391	2,484	2,595	2,706	2,801
EBITDA margin	9.0%	8.8%	8.8%	8.7%	8.7%	8.7%
Profit attributable to owners	874	729	767	811	864	914
EPS (SAR)	2.93	2.46	2.59	2.73	2.91	3.08
Capital expenditure	859	810	900	880	860	850
Free cash flow to the firm		569	540	647	761	858
Net debt (company definition)	904	770	700	568	370	119
Equity attributable to owners	5,516	5,844	6,189	6,554	6,943	7,355
Operating invested capital (equity + minorities + debt + leases – cash)		10,149	10,590	10,976	11,305	11,585
Return on invested capital (NOPAT / opening invested capital)		9.62%	9.67%	9.75%	9.92%	10.07%
Return on equity (attributable profit / opening equity)		13.22%	13.12%	13.11%	13.19%	13.16%

Monte Carlo price map — engine output (pasted by construction)

Each figure is a 50,000-path simulation of the whole price process; the grid does not redraw when a driver changes

Anchor: SAR 25.40 (settled close) on 2026-08-18 · annualized volatility ~30% · 50,000 simulated paths on a fixed seed (42), carry-anchored heavy-tailed process

Horizon	p5	p25	p50	p75	p95	P(above spot)	
One month (to 2026-09-20)		21.87	24.02	25.47	27.04	29.72	51.3%
Three months (to 2026-11-18)		19.76	23.19	25.68	28.42	33.35	53.0%
Touch probability within 3M	+5%	+10%	+15%	−5%	−10%	−15%	
Probability the level trades at least once		71.2%	50.7%	34.4%	66.0%	41.7%	24.1%

Backtest of the same price engine on Savola (plain language):

Over the last five years (2021-10-26 to 2026-04-28), 19 non-overlapping three-month forecasts scored +0.9% against a Realized outcomes fell inside the 50/80/90% bands 53%/79%/84% of the time; the forecast percentiles were roughly Across the full cleaned history (58 windows) the score was +0.4%; the engine is statistically indistinguishable from the

Sensitivity — engine re-runs (pasted by construction)

Each cell is a complete revaluation of the whole model; the grids do not redraw when a driver changes

Fair value per share at the anchor: cost of capital x terminal growth

WACC \ g	1.5%	2.0%	2.5%	3.0%	3.5%
6.82%	31.64	33.07	34.78	36.83	39.37
7.32%	27.25	28.26	29.43	30.81	32.47
7.82%	23.50	24.20	24.99	25.90	26.97
8.32%	20.26	20.73	21.24	21.83	22.49
8.82%	17.43	17.73	18.04	18.39	18.77

Beta (the 90% confidence interval of the measured beta spans 0.73-1.44)

Beta	Fair value (SAR)
0.730	36.16
0.900	30.25
1.000	27.30
1.087	24.99
1.200	22.28
1.440	17.43

Risk-free construction

10Y SAR level	Fair value (SAR)
5.02%	27.70
5.52% (base)	24.99
6.02%	22.55

Per-share figures, ratios and operating KPIs

Per share (SAR)	2026E	2027E	2028E	2029E	2030E
EPS	2.46	2.59	2.73	2.91	3.08
Dividend per share (policy payout)	1.35	1.42	1.50	1.60	1.69
Book value per share	19.70	20.86	22.09	23.40	24.79
Free cash flow to the firm per share	1.92	1.82	2.18	2.56	2.89
Ratios	2026E	2027E	2028E	2029E	2030E
Net debt / EBITDA (loans basis)	0.32x	0.28x	0.22x	0.14x	0.04x
Payout ratio (policy)	55.0%	55.0%	55.0%	55.0%	55.0%
Dividend yield at spot	5.3%	5.6%	5.9%	6.3%	6.7%
Operating KPIs (from the unit build)	2026E	2027E	2028E	2029E	2030E
Oil volume (k MT)	1,487	1,547	1,593	1,633	1,666
Sugar volume (k MT)	2,281	2,338	2,385	2,432	2,469
Pasta volume (k MT)	271	279	286	292	298
Panda stores (year end)	247	267	285	300	312
Panda sales per average store (SAR mn)	48.85	47.38	46.91	46.91	46.91
Group EBITDA margin (output)	8.8%	8.8%	8.7%	8.7%	8.7%

Peer frame — market data, cross-check only

Settled closes of 18-Aug-2026; the peer-mix multiple used by the lenses is computed on the Relative & Normalized sheet from these cells

Company	Exchange	P/E (TTM)	Note
Almarai	Tadawul 2280	19.77x	GCC food & beverage leader n/m — H1-2026 attributable loss announced 11-Aug-2026 (TTM earnings ~79mn); excluded like Herfy
Al Othaim Markets	Tadawul 4001	n/m	
BinDawood Holding	Tadawul 4161	20.20x	Saudi grocery retail
NADEC	Tadawul 6010	13.00x	Saudi agri-food international agri-food
Wilmar International	SGX F34	12.54x	analogue
Herfy Food Services	Tadawul 6002	n/m	loss-making; consolidated at 49%

Savola at the model fair value (Framing A)

Implied P/E on FY2026E EPS	10.17x
Implied EV / FY2026E EBITDA (lease-inclusive)	5.36x
P/E at spot on FY2026E EPS	10.33x

Herfy market value feeds the bridge directly: the 51% outside shareholding is deducted at Herfy's own market price rather than book.